



ASPIDARE

2023 Financial Condition Report

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Executive Summary

Aspida Life Re Ltd. (the “Company” or “Aspida Re”) was registered as a Class C insurer on July 5, 2011 under the Insurance Act 1978 of Bermuda (the “Insurance Act”). The Company registered with the Bermuda Monetary Authority (the “Authority”) as a Class E (re)insurer from a Class C (re)insurer on December 18, 2020 in accordance with the Insurance Act. The name change from F&G Reinsurance Ltd to Aspida Life Re Ltd. was effective on December 18, 2020. The Company’s financial strength ratings as at the date of filing are A- with both AM Best and Kroll Bond Rating Agency.

Business and Performance

Aspida Re is a global annuity and life reinsurer focused on providing efficient and secure reinsurance solutions to its partners worldwide. As of December 31, 2023, the Company recorded \$10.3bn in total assets on a statutory basis.

Aspida Re provides clients in the U.S. and Asia with reinsurance coverage for long-term business, focusing on annuity business covering fixed annuities, multi-year guaranteed annuities and fixed index annuities. The Company is a trusted partner in its clients’ long-term financial growth strategies, delivering creative, customized solutions while driving business and doing good for the communities it serves.

The Company entered the Asia-Pacific market in 2022 through the execution of a flow reinsurance transaction with a prominent Japanese life insurance company and has continued to strengthen its position as a global reinsurance provider. Through the Asia-Pacific market, and more broadly, the Company constantly looks to maintain policyholder protection, drive prudent growth, and enhance shareholder value.

Governance Structure

Aspida Re has established a governance framework that allows for appropriate segregation of risk ownership, oversight, and assurance responsibilities in accordance with international best practices, the Authority’s requirements defined in the Insurance Code of Conduct, enhanced regulatory standards for commercial (re)insurers, and the Insurance Act.

The governance framework, including all relevant guidelines, procedures, and controls, is reviewed at least annually to ensure it remains appropriate given the size and complexity of the business. Further details of the Company’s governance structure and framework are provided in Section 2.

Risk Profile

At Aspida Re, we are committed to excellence in all that we do, and this extends to all facets of our operations, including risk management. We strive to embed our risk strategy across Aspida Holdings Ltd. and all direct and indirect subsidiaries, including the Company (collectively, the “Group”), by ensuring that risk is at the forefront of our day-to-day decisions – from how we manage our business, to how challenges and opportunities are assessed. Our framework serves as a fundamental guide that underscores our dedication to safeguarding the interests of our policyholders and other stakeholders.

Aspida Re’s Enterprise Risk Management (“ERM”) framework establishes a formal, systematic and integrated approach to identifying, managing and monitoring risks within the organization. The Company has adopted a Three Lines of Defense Model based on a comprehensive Group-wide enterprise risk taxonomy and consists of numerous processes and controls that have been designed by management, with oversight by the Board of Directors and its Committees, and implemented by employees across the organization.

The Company’s risk management framework is implemented and integrated into its operations through systems, processes, procedures and controls developed by management. The Risk function, Internal Audit and third-party consultants review the controls in place to ensure they are effective and provide recommendations to the Board on a quarterly basis. The Group also has a thorough collection of Group risk management policies that undergo periodic review and approval.

Aspida Life Re Ltd. | Financial Condition Report 2023**Solvency Valuation**

Assets and Liabilities have been valued in accordance with the BMA's Economic Balance Sheet ("EBS") valuation principles. Further details of the methodology, assumptions, and valuation bases for assets and liabilities used to determine the company's regulatory solvency are provided in Section 4 of this report.

Capital Management

The capital requirements are determined under the BMA's EBS framework. The Enhanced Capital Requirement ("ECR") represents the Transitional Bermuda Solvency Capital Requirement ("BSCR"), which reflects the 10-year linear grade-in period to fully transition from the 'old' 2018 BSCR methodology to the 'new' 2019.

Aspida Re's regulatory capital position as of December 31, 2023 and 2022 is outlined in the tables below:

ECR Requirement (in \$millions)	2023	2022
Enhanced Capital Requirement	363	211
Economic Capital and Surplus	778	437

MSM Requirement (in \$millions)	2023	2022
Minimum Margin of Solvency ("MSM")	157	96
Economic Capital and Surplus	778	437

Solvency ratio	2023	2022
BSCR ratio	214%	207%

As of December 31, 2023, Aspida Re's available Statutory Economic Capital and Surplus was \$778mm with a solvency ratio of 214%. As of December 31, 2023, all eligible capital of \$778mm is categorized as Tier 1, the highest quality capital.

1 Business and Performance

1.1 Name of insurer

Aspida Life Re Ltd

1.2 Insurance supervisor

Bermuda Monetary Authority
BMA House
43 Victoria Street,
Hamilton HM12
Bermuda

1.3 Approved auditor

GAAP and Statutory Reporting
EY Bermuda Ltd.
3 Bermudiana Road,
Hamilton HM08
Bermuda

1.4 Ownership details

Aspida Re is a Bermuda incorporated and regulated company, it is a wholly owned subsidiary of Aspida Holdings Ltd., an indirect subsidiary of Ares Management Corporation.

1.5 Group structure

The Company's ultimate parent is Ares Management Corporation ("Ares"). The Board of Directors of the Company provides governance and oversight of the Company.

The Group structure is shown in the Appendix.

1.6 Insurance business written

The Company primarily offers reinsurance coverage for long-term business, focusing on annuity business, including fixed annuities, multi-year guaranteed annuities and fixed index annuities.

The majority of Aspida Re's existing business written consists of deferred annuity business which is accounted for under deposit accounting rules for US GAAP. Gross deposits collected with respect to the deferred annuity business were approximately \$3.8bn in 2023 and \$2.7bn in 2022.

Pricing returns and competitive rankings have remained relatively consistent across 2023.

Gross deposits originated from the US, Japan and Puerto Rico.

Gross Written Business is as follows:

Line of Business (in \$'000s)	2023	2022
Fixed Annuity business	\$ 3,808,227	\$ 2,732,596
Total	\$ 3,808,227	\$ 2,732,596

Gross Written Business by Region:

Geographical Region (in \$'000s)	2023	2022
USA	\$ 3,257,378	\$ 2,539,233
Japan	536,365	169,933
Puerto Rico	14,484	23,430
Total	\$ 3,808,227	\$ 2,732,596

1.7 Investments, material income & expenses for the reporting period

As a financial services company that provides reinsurance solutions to businesses, we are affected by numerous factors such as price fluctuations within equity markets and changes in interest rates. Such factors can impact the performance of our business, particularly with regards to the valuation of investments we hold and related income we may recognize. We carefully monitor economic and market conditions that could potentially give rise to global market volatility and affect our business operations and positioning of our investment portfolios.

The Company invests in a combination of high-quality, diversified fixed income securities, preferred stock, and investment funds seeking to preserve flexibility around credit, asset liability management, and the liquidity profile. The Company's diversified investment strategy seeks to achieve risk-adjusted returns through the prudent management of our investment portfolio against our liability outflows, whilst balancing the portfolio in consideration of asset risk capital requirements and the potential for associated asset diversification benefits.

Aspida Life Re Ltd. | Financial Condition Report 2023**Performance of Investments for the Reporting Period**

A summary of the investment income and realized gains (losses) for the year ending December 31, 2023 and December 31, 2022 is outlined in the following tables:

Investment Income (in \$'000s)	2023	2022
Available-for-sale securities	\$ 38,301	\$ 3,315
Cash and cash equivalents	40	-
Other	84	219
Total Investment Income	\$ 38,425	\$ 3,534

Investment Gains (Losses) (in \$'000s)	2023	2022
Available-for-sale securities	\$ (289)	\$ (248)
Derivatives gains (losses)	32,269	(54,720)
Embedded derivative gains (losses)	609,045	(379,083)
Total Investment Gains (Losses)	\$ 641,025	\$ (434,051)
Investment expenses	(37,266)	(21,748)
Impairments on AFS securities	(793)	-
Total Investment Gains (Losses)	\$ 602,966	\$ (455,799)

Total Investment Income has increased during the year ended December 31, 2023, as a result of an increased level of assets held on the balance sheet of Aspida Re, outside of funds withheld at interest ("FWH").

The changes in investment related gains arose from the changes in fair value of assets that are sensitive to changes in interest rates underlying our funds withheld and modified coinsurance reinsurance agreements, which do not reflect underlying product economics due to assets being reflected at market value and liabilities being reflected at a fixed value (generally, account value).

These agreements are considered to have embedded derivatives which cause us to reflect these changes in fair value in earnings as they occur.

Material Income & Expenses for the Reporting Period

The Company's primary source of revenue is investment income from fixed income securities and returns from the Company's investment funds. The Company's major expenses include interest credited to policyholders on fixed and index annuities, policy maintenance, and employee related expenses.

The following table presents the material amounts during these periods:

Policy and Other Operating Expenses (in \$'000s)	2023	2022
Policy-related expenses	\$ 33,693	\$ 16,498
Employee-related	2,248	3,515
Other operating expenses	19,775	7,552
Total Policy and Other Operating Expenses	\$ 55,716	\$ 27,565

1.8 Any other material information

As part of ongoing efforts towards global tax harmonization, the UK government issued draft legislation during 2022 that implements parts of the Organization for Economic Co-Operation and Development ("OECD") model Pillar Two rules that affect any group with international operations and global revenues exceeding EUR750 million per annum in two of the last four years.

Pillar Two seeks to establish a 15% global minimum tax rate (the "Global Minimum Tax"). Pillar II legislation becomes effective in the UK for accounting periods beginning on or after December 31, 2023. The international agreement requires that companies in scope pay appropriate taxes to another jurisdiction if the country in which they are domiciled does not charge a 15% minimum tax.

In August 2023, the government of Bermuda announced plans to implement a corporate income tax ("Bermuda CIT") that would be effective for tax years beginning on or after January 1, 2025, as applicable, and would include similar guidelines to the Pillar II Global Minimum Tax rules.

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The Bermuda government subsequently issued formal legislation in December 2023 that implemented a Bermuda CIT rate of 15% for in-scope entities. Further guidance concerning Bermuda CIT and Global Minimum Tax is expected in 2024.

The Company has evaluated the impact that this new legislation has on its financial statements for the year end December 31, 2023 based on information available at the financial statement date and has recorded tax related values, where applicable.

December 31, 2023 impacts include the recording of a deferred tax asset for GAAP reporting based on provisions in the Bermuda CIT legislation, which allows for an opening tax benefit for historical losses.

Deferred tax assets, linked to the Bermuda CIT legislation, are currently excluded from the statutory and EBS positions.

2 Governance Structure

The Company has instituted a resilient governance framework encompassing a strong Board of Directors (the “Board”), Committees, and management structure to oversee the Company’s activities. Our governance model is designed to effectively manage the inherent risks in our business, aligning with applicable laws and regulations. We are dedicated to upholding the highest standards of corporate governance, evidenced by the adoption of Board and governance guidelines.

2.1 Board and senior executives

2.1.1 Board and senior executive structure, roles, responsibilities and segregation of responsibilities

Company Board

It is the responsibility of the Company’s Board to ensure that the Company is appropriately managed and that it achieves its objectives. In particular, the Board is chiefly responsible for setting corporate strategy, reviewing and monitoring managerial performance, and determining an acceptable level of risk. The Aspida Re Board meets at least quarterly.

The charter of the Board identifies several areas that are reserved for the Board. These include:

- Structure and capital
- Internal Controls, Compliance and Risk Management
- Financial reporting and controls
- Shareholder communication
- Board membership and related matters
- Remuneration
- Conflicts of Interest

The Aspida Re Board comprises six members. The Board currently has two representatives of Ares (the controlling person of the group), three independent directors and the CEO of Aspida Re.

The Aspida Re Board has an appropriate number and mix of directors to ensure that it has requisite experience, knowledge, skills and expertise commensurate with the Company’s business, scale and complexity. The Board ensures the business is run in line with strong corporate governance principles.

In accordance with international best practices and the Authority’s requirements defined in the Insurance Code of Conduct, enhanced regulatory standards on commercial (re)insurers and the Insurance Act, the Company has established and maintains a sound corporate governance and risk management framework. The Board has formalized this framework, together with all relevant guidelines, procedures, and controls, which are annually reviewed to ensure they remain appropriate given the size and complexity of the business.

The Company is further committed to establishing a governance framework that allows for appropriate segregation of risk ownership, oversight, and assurance responsibilities.

The members of the Board, both individually and collectively:

- act in good faith, honestly and reasonably
- exercise due care and diligence
- ensure stakeholders’ interests are protected
- exercise independent judgement and objectivity in decision making; and
- ensure appropriate policies and procedures are in place to effectively deal with conflicts of interest.

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As of December 31, 2023, the Board comprises the persons listed in the below table. Biographical information for the members of the Board is set forth in Section 2.2.2 of this document.

Company Board	
Andrew Cook	Chairman & Independent Non-Executive Director
Peter Birkey	Independent Non-Executive Director
Jim Hunt	Independent Non-Executive Director
Blair Jacobson	Ares Director
Anton Feingold	Ares Director
David Florian	Chief Executive Officer, Aspida Re Executive Director

In performing its oversight responsibilities, the Board has established five Committees (each with its own charter), comprising members of the Board and other executive management to assist the Board in carrying out the duties set forth above.

Board Committees				
Audit & Compliance	Risk	Investment	Underwriting	Executive
Assists the Board in its independent oversight of the financial reporting and compliance processes related to Aspida Re. The Audit Committee will review the effectiveness of the respective accounting functions and internal financial controls; the independent audit process, the controls for monitoring compliance with applicable laws and regulations affecting financial reporting, operations, and the code of ethics.	Assists the Board in its oversight of: 1. Assist the Board and the Audit and Compliance Committee in fulfilling their oversight responsibilities for the enterprise risk management function; 2. Identify and evaluate risks inherent in the relevant company's business, strategy, or operating plans; 3. Oversee the development and implementation of systems, processes, and policies designed to manage and mitigate risks; 4. Approve the stress test assumption and limits utilized stress test scenario analyses; and 5. Engage in such activities as it deems necessary or appropriate in connection with the foregoing.	The primary purpose of the Investment Committee of Aspida Re is to oversee the investment performance and management of the relevant company, oversee the performance of third-party investment managers and to make recommendations to the relevant Board of Directors in connection with investment guidelines, strategies, objectives, policies, standards, asset allocations, and/or governing principles, and financing activities. The Committee's main responsibilities include: (a) responsibility for the investment policy and strategy; (b) oversight of the investment portfolio; (c) ensuring compliance with any applicable Investment Compliance Policy; and (d) oversight of third party investment managers.	The primary purpose of the Underwriting Committee is to oversee the risk of individual reinsurance transactions, policies, and procedures surrounding reinsurance contracts, and the profitability of new and existing business. The Aspida Re Underwriting Committee oversees the below responsibilities; 1. Reinsurance Transactions Risk Assessment. 2. Reinsurance Contracts. 3. Underwriting Strategy. 4. Underwriting Performance. 5. Counterparty Risk.	The primary purpose of the Executive Committee is to act with the full authority of the relevant Board of Directors. In addition, the Executive Committee cannot act on any matters that: 1. Are expressly delegated to other committees of the relevant Board of Directors; 2. Are under active review by the relevant Board of Directors or another committee of the relevant Board of Directors; or 3. The organizational documents of the company state cannot be delegated by the relevant Board of Directors to a committee of such Board.

Aspida Re's executive management team currently comprises five positions: Chief Executive Officer, President & Chief Actuary, Chief Financial Officer, Chief Operating Officer, and Deputy Chief Risk Officer. Aspida Re's management team is responsible for the day-to-day operations of the Aspida Re business, including implementation of the Group's Enterprise Risk Management ("ERM") framework, underwriting and pricing, reviewing performance of ongoing transactions, negotiating agreements, and supervising and controlling Aspida Re's asset management functions,

Executive management Team	
David Florian	Chief Executive Officer
Jon Steffen	President, Chief Actuary & Principal Representative
Andrew Preston	Chief Financial Officer
Sheetal Chhiba	Deputy Chief Risk Officer
Jenny Kane	Chief Operating Officer

2.1.2 Remuneration

Aspida Re has a remuneration policy in place which governs the remuneration of both the Boards and senior management, in a manner that supports the achievement of the Company's strategic objectives, its risk appetite and long-term interests, whilst attracting and retaining skilled and competent individuals and rewarding high levels of performance. Aspida Re's remuneration policy does not induce excessive or inappropriate risk-taking.

The Compensation Committee is appointed by the Board of Directors of Aspida Holdings Ltd. to review and make recommendations regarding the Group's overall compensation philosophy, policies, and objectives. This includes evaluating the appropriate level of compensation for Board and Committee service by independent non-executive directors.

The Board is responsible for establishing and implementing an effective remuneration policy that provides for specific remuneration packages and conditions of employment. In determining such packages and conditions, the Board must consider the relevant corporate governance principles and performance of the business and relevant business units.

The Board must ensure that the appropriate systems and processes are in place for review of the succession, evaluation and remuneration packages of the Board and Senior Management. These procedures include:

- (a) role evaluation and methodology in relation to remuneration levels;
- (b) performance evaluation frameworks, which align with the Company's objectives and provide for ongoing training to facilitate improvement;
- (c) guidelines for fixed and performance-based elements of each remuneration package;
- (d) appropriate disclosure of relevant information in a timely manner; and
- (e) controls to ensure compliance with all applicable laws, regulations and internal policies and procedures.

2.1.3 Pension or early retirement schemes for members, board and senior employees

Aspida Re abides by pension legislation for Bermudian and Spouse of Bermudian employees.

For Bermudians and Spouses of Bermudians, contributions are made to third-party defined contributory retirement plan. Deposits are based on a percentage of pensionable earnings (e.g., salary, bonuses, and other required factors) and governed by the plan rules in place at the time. Once contributions have been paid for the relevant contributory period, Aspida Re has no further payment obligation, as the benefit assets in the plan are held separately from the Company and managed by a third-party administrator (Bermudian insurance company) in the form of a Bermuda government approved group policy issued.

All non-Bermudian employees receive an equivalent employer benefit to that above as cash in lieu.

2.1.4 Shareholder controllers, persons who exercise significant influence, the board or senior executive material transactions

The Company enters into certain transactions with its ultimate parent company, Ares, and its affiliates. These transactions are reviewed and approved by the Conflict Committee of Aspida Holdings Ltd. (the "Conflict Committee").

The Conflict Committee comprises independent non-executive directors of the Company and the Company's insurance affiliates. The Conflict Committee reviews all related-party agreements ("Related-Party transactions") and conflict of interest situations ("Conflicts") involving the Company or any of its affiliates to ensure the terms are consistent with the Conflicts of Interest Policy. The Company considers and approves transactions where a related party may have a direct or indirect financial interest. Related persons include any of the Company's directors, director nominees or executive officers, certain of its shareholders and their respective immediate family members. A conflict of interest occurs when an individual's private interest interferes, or appears to interfere, in any way with the Company's interests.

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The Company's Code of Conduct requires all directors, officers, and employees who may have either a potential or apparent conflict of interest to promptly disclose such conflicts to Aspida Holdings' Chief Legal Officer and the Conflict Committee. The Company seeks affirmative confirmation of compliance with its Code of Conduct from its directors, officers, and employees annually.

During the year ended December 31, 2023, the Company received capital contributions totaling \$313.7mm from Aspida Holdings Ltd.

The Company pays asset management fees to its affiliated asset manager, Ares Insurance Solutions LLC ("AIS"), in accordance with the Investment Management Agreement ("IMA") discussed further in Section 2.7.1. During the year ended December 31, 2023, the Company incurred management fees of \$21.3mm related to the IMA and this amount is included in net realized gains and losses on the statement of income. The Company also has investment transactions with companies which are affiliated with the Company's ultimate parent.

2.2 Fitness and propriety requirements

2.2.1 Fit and proper process in assessing the board and senior executives

The Board and relevant officers hold the primary responsibility for ensuring that the Company is suitably managed and directed. Accordingly, it is of paramount importance that members of the Board and relevant officers have integrity and are suitable as these individuals can have significant and direct impact on the Company safety, soundness and reputation.

Aspida Re has adopted a policy that sets forth fitness and propriety matters when considering whether a person is appropriate for the position to which they have been appointed, as well as ensuring the person continues to be fit and proper for that position. In determining whether a person is a fit and proper person to hold any particular position, regard shall be had to such person's probity, competence and soundness of judgement for fulfilling the responsibilities of that position, to the diligence with which such person is fulfilling or likely to fulfil those responsibilities.

The assessment of fitness and propriety covers the following factors:

- Character and integrity
- Experience and competence
- Time and commitment for Board and Committee Members
- Independence (only applicable to the appointment and re-appointment of an Independent Director)

The Company appoints members of the Board based on the individual's skill set, expertise, knowledge, and work experience as well as professional judgment and recommendations from those individuals who are professionally familiar with the proposed Board member. Senior Management works with an outsourced third party and the Human Resources department of the affiliated Aspida Financial Services, LLC ("AFS") to hire senior and middle management and other staff to ensure there is sufficient expertise to achieve their respective area goals. The Human Resources department arranges background screening and other support for all hires to ensure appropriate organizational alignment.

2.2.2 Qualifications, skills and expertise of Board and Company officers

The following sets forth certain information concerning the Company's Board of Directors and executive officers as of December 31, 2023:

Directors

Andrew Cook, Chairman & Independent Non-Executive Director; Bermuda Resident

Mr. Cook was most recently the Chief Executive Officer of GreyCastle Life Reinsurance, a Bermuda-based entity that participated in the life reinsurance run-off space. Mr. Cook has more than 35 years of financial and operational experience having started his career as a Chartered Accountant in Toronto. As the founding CFO of three startup reinsurance entities in Bermuda, he was responsible for all capital market activities including debt and equity financing, SEC reporting, investor relations and M&A. He has a proven track record of bringing private companies to the public markets having led successful IPO's at LaSalle Re, Axis Capital and Global Partner Acquisition Corp.

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While serving as the President and CFO of HarborPoint he structured its merger with Alterra Capital. Following the merger, he served as President of Alterra Bermuda.

Peter Birkey, Independent Non-Executive Director

Mr. Birkey currently provides strategic consulting advice on business strategy, environmental, social & governance (ESG), asset allocation, enterprise risk management (ERM), investments and personnel. He recently served on the board of Pretivm Resources (NYSE: PVG), where he chaired the Corporate Governance and Nominating Committee, and was a member of the Audit Committee. He previously was Executive Vice President of public markets, special situations, real estate and strategy, where his teams managed the assets across the global footprint of Liberty Mutual. Prior to that, he was Senior Vice President of investment and risk management at Amerus Capital management. Mr. Birkey has served on boards of energy, mining and real estate companies in Europe, South America, Canada and the United States. He is a Chartered Financial Analyst (CFA) and obtained a Master of Business Administration degree with highest honors from the University of Chicago, and a Bachelor of Arts in Economics and Business Administration from Coe College.

Jim Hunt, Independent Non-Executive Director

Jim Hunt presently serves as non-executive chairman of Hunt Companies, Inc. Most recently, in 2015 and 2016, Mr. Hunt served as the managing partner and CEO, middle market credit at Kayne Anderson Capital Advisors, LLC. From August 2014 to November 2015, Mr. Hunt served as non-executive chairman of the board of THL Credit, Inc. Mr. Hunt was founder and served as chief executive officer and chief investment officer of THL Credit, Inc. and of THL Credit Advisors, from April 2010 to July 2014 and, prior thereto, held similar executive positions with predecessor entities since May 2007. Previously, Mr. Hunt was chief executive officer and managing partner of Bison Capital Asset Management, LLC from 2001 to 2007. Prior to co-founding Bison Capital, Mr. Hunt was the president of SunAmerica Corporate Finance and executive vice president of SunAmerica Investments (subsequently, AIG SunAmerica).

Mr. Hunt was with Citibank/Citicorp from 1975 through 1989 with his last responsibilities serving as Far West Area Head of Leveraged Capital and with the designation of Senior Credit Officer. Jim is also a Director of PennyMac Financial Services, Inc. (NYSE: PFSI.) and is on the boards of Cartiga LLC and Amber Infrastructure Group. Additionally, Jim previously served on the boards of Ares Dynamic Credit Allocation Fund Inc, CION Ares Diversified Credit Fund, THL Credit, Inc., THL Credit Advisors, Primus Guaranty, Ltd., Fidelity National Information Services, Inc., Lender Processing Services, Inc. and Falcon Financial, Inc.

Blair Jacobson, Ares Director

Mr. Jacobson is a Partner and Co-Head of European Credit in the Ares Credit Group and serves on the Ares Executive Management Committee and the Ares Diversity, Equity and Inclusion Council. He also serves on the boards of Ares Management Limited and Ares Management UK Limited. Additionally, Mr. Jacobson serves on the Ares Credit Group's European Direct Lending and European Liquid Credit Investment Committees. Prior to joining Ares in 2012, Mr. Jacobson was a Partner at The StepStone Group, where he focused on building and running European operations, including oversight of private debt and equity investments. Previously, Mr. Jacobson was a Partner at Citigroup Private Equity and Mezzanine Partners in London and New York. In addition, he has held a variety of roles in investment banking and mergers and acquisitions in a broad range of industries, including at Lehman Brothers. Mr. Jacobson holds a B.A., magna cum laude, from Williams College in Political Economy and an M.B.A., with honors, from the University of Chicago Booth School of Business in Finance.

Anton Feingold, Ares Director

Mr. Feingold is a Partner and Associate General Counsel in the Ares Legal Group and Assistant Secretary of Ares Management Corporation. He is also the General Counsel, Vice President and Secretary of Ares Commercial Real Estate Corporation and Vice President and Assistant Secretary of CION Ares Diversified Credit Fund. He additionally serves as a director of Postal Realty Trust, Inc. (NYSE: PSTL).

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Prior to joining Ares, Mr. Feingold worked at Clifford Chance from 2004 to 2014, where he was a Senior Associate. Mr. Feingold graduated from University of Birmingham with a Bachelor of Laws (LL.B Honors) and received a Postgraduate Diploma in Legal Practice at BPP University in London.

David Florian, Aspida Re Executive Director & Chief Executive Officer

David Florian is a seasoned reinsurance professional – over three decades of industry experience – with an impressive history of building reinsurance businesses and solutions that have serviced the top insurance and reinsurance companies globally. He joined the Aspida Re team as Chief Executive Officer in 2022 from PartnerRe Ltd., where he was Head of Global Life Financial Solutions. While at PartnerRe Ltd., he built and oversaw the Global Financial Solutions business, leading an international team from North America, Europe, and Asia-Pacific regions. Prior to that, he was at Wells Fargo Corporation where he was hired to initiate the reinsurance business. He was CEO of the reinsurance subsidiaries including Bermuda, Barbados and the U.S. He is an associate in the Society of Actuaries and a member of the American Academy of Actuaries. He holds a Bachelor of Arts from Indiana University and is also a graduate of the University of North Carolina's Executive Leadership Program.

Company Officers**Jon Steffen, President, Chief Actuary & Principal Representative**

Jon Steffen joined the Company as the President of Aspida Re in June 2021 and assumed the additional role of Chief Actuary in September 2023. Mr. Steffen brings over a decade of Bermuda Life/Annuity reinsurance to the team. He will be focusing on leading the reinsurance company, including enhancing Aspida Re's capital and risk management solutions offerings to its various clients. Mr. Steffen serves on the Board of Directors of BILTIR. Most recently Mr. Steffen served as the Approved Actuary for the Athene Bermuda companies and led the Valuation and Risk Modeling function. Jon has also held various leadership roles at Athene and ACE. Mr. Steffen holds a B.Sc. from University of Illinois at Urbana-Champaign in Actuarial Science.

Mr. Steffen is a Fellow of the Society of Actuaries (FSA) and Member of the American Academy of Actuaries (MAAA).

Andrew Preston, Chief Financial Officer

Andrew Preston joined the Aspida Re leadership team in 2023, as the Chief Financial Officer. Andrew brings over 20 years of industry experience, with nearly a decade in the Bermuda market. Building on his strengths in both the reinsurance and international sectors, he focuses on capital management and strategic planning, as well as regulatory and financial reporting. Previously, Andrew was Group Chief Accounting Officer of the Monument Re Group and also served as Bermuda Principal Representative. Andrew is a Fellow of the Association of Chartered Certified Accountants (FCCA), a Member of the Institute of Chartered Accountants in England and Wales (ACA), and a Chartered Professional Accountant, Bermuda (CPA).

Sheetal Chhiba, Deputy Chief Risk Officer

Sheetal Chhiba joined the Aspida Re leadership team in 2022 as the Deputy Chief Risk Officer. She brings over a decade of consulting, insurance and reinsurance experience and strong expertise to the risk function of Aspida Re. Prior to joining the Aspida Re team, she served as the Deputy Chief Risk Officer at Enhanced Re. She has also held various senior positions at Ernst & Young - Bermuda, Prudential PLC, and Deloitte, focusing on risk management, financial and Bermuda regulatory reporting, and audit. She is based out of Aspida Re's office in Hamilton, Bermuda. She is a Fellow of the Actuarial Society of South Africa and attended the University of the Witwatersrand, Johannesburg, graduating with a Bachelor of Science in Actuarial Science.

Jenny Kane, Chief Operating Officer

Jenny Kane joined the Aspida Re leadership team in 2023 as the Deputy Chief Operating Officer and was promoted to Chief Operating Officer in 2024. She brings over 20 years of hedge fund and banking experience, broad expertise in operations and risk management, and over ten years working in the Bermuda market to the Aspida Re team.

Previously, she was Global Head of Operational Risk, Group Operating Officer Asset Management and Chief Administration Officer at Butterfield Bank and Global Head of Projects and Initiatives, Head of Operations at Mitsubishi UFJ Fund Services, both located in Bermuda. She is based out of Aspida Re's office in Hamilton, Bermuda. Ms. Kane holds a B.Sc. with Honors from Glasgow University. She also holds designations in anti-money laundering from the International Compliance Association and is a member of Association of Certified Anti-Money Laundering Specialists (ACAMS).

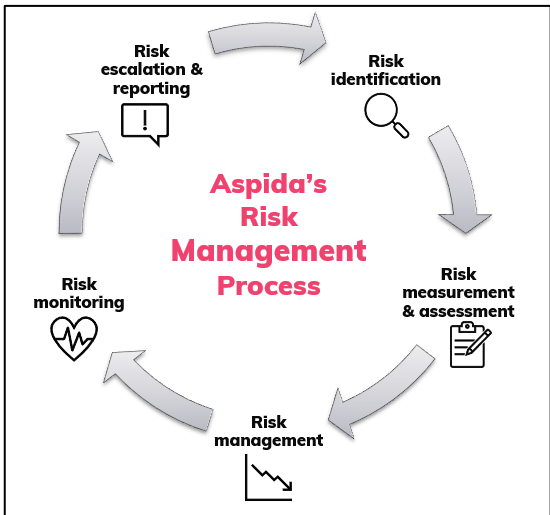
2.3 Risk management and solvency self-assessment

2.3.1 Risk management process & procedures to identify, measure, monitor and report on risk exposures

Risk Framework

Aspida Re's ERM framework establishes a formal, systematic and integrated approach to identifying, managing and monitoring risks within the organization. It is based on a comprehensive Group-wide enterprise risk taxonomy and consists of numerous processes and controls that have been designed by management, with oversight by the Board and its Committees, and implemented by employees across the organization.

Effective risk oversight is an important priority for both management and our Board, and we place strong emphasis on ensuring we have a robust risk management framework to identify, measure, manage, monitor and report on risks that affect the achievement of our strategic, operational and financial objectives.



Risk Strategy

Our risk framework is set and developed relative to the strategic objectives of the business. At a high level, we aim to:

- Develop insurance products that are aligned to our overall strategic objectives
- Accept risks that are aligned to our overall objectives
- Avoid risks that are not aligned to our strategy
- Risk transfer through insurance and reinsurance
- Seek investment risk where it is adequately rewarded and in line with investment guidelines
- Manage risks within the limits of our prescribed risk appetite and as directed through defined corporate policies:
 - Establish measures that aid in the quantification of risk or performance
 - Develop stress tests / scenarios to understand overall assessment of our exposure to key risks
 - Establish risk limits where monitoring and / or management action is to be taken
 - Develop mitigation plans that manages any residual risk(s) remaining to align to our risk appetite

As the Company grows, the controls and governance structure is continuously refined to ensure that it remains appropriate to the nature, scale and complexity of the business. We strive to embed our risk strategy within the business by ensuring that risk is at the forefront of our day-to-day decisions – from how we manage the business, to how challenges and opportunities are assessed.

Risk Culture

Aspida Re recognizes that a robust risk culture is paramount to our organization's success in managing and mitigating risks effectively:

- Aspida Re is committed to fostering a strong risk-aware culture throughout the organization and continuous efforts are made to develop and strengthen the risk culture
- We encourage proactive risk management by being agile and responsive to change around us – all employees are responsible for identifying and reporting risks promptly
- We encourage open communication regarding risks and risk management among all employees

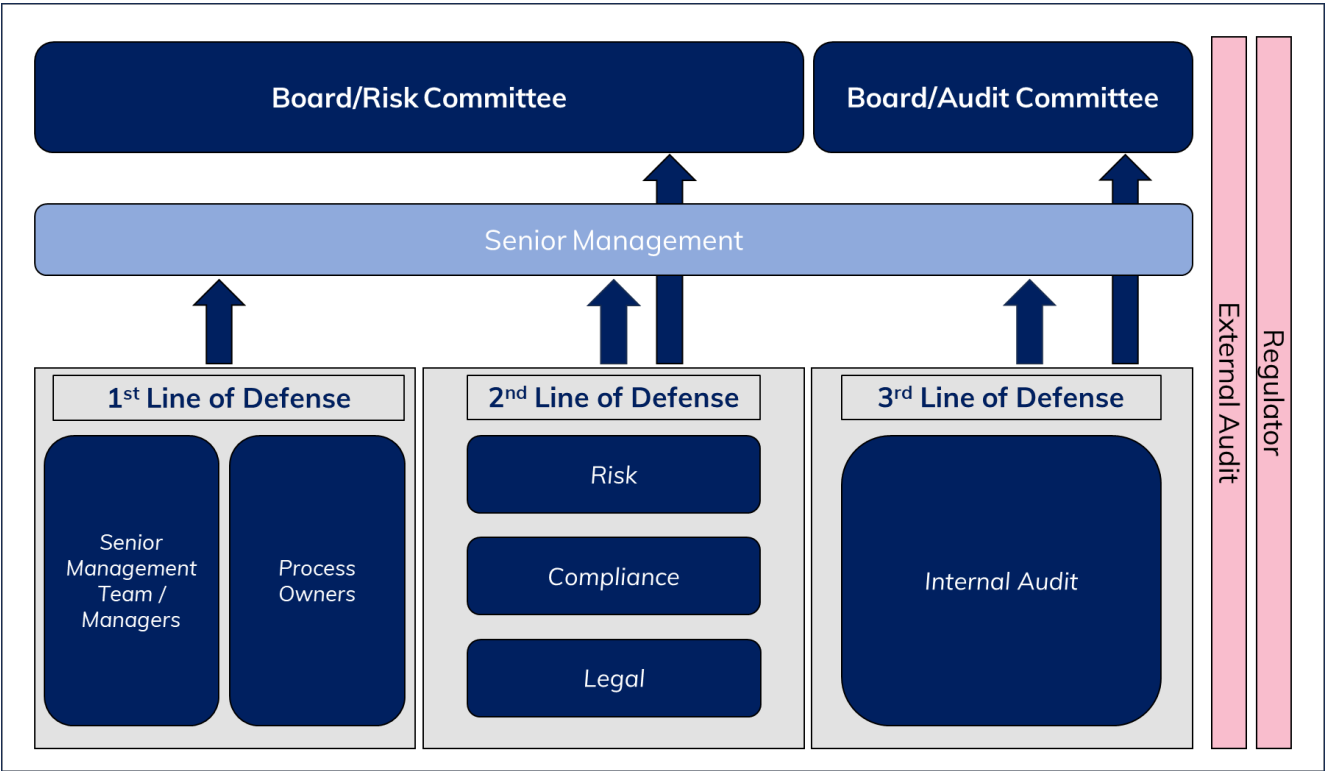
- We are committed to providing ongoing training and education on risk management principles and practices to employees, to enhance risk awareness and understanding

Risk Governance

The Board is ultimately responsible for oversight of the risk management framework. The ongoing and day-to-day management of the ERM framework is overseen by the Chief Risk Officer (or Deputy Chief Risk Officer) with the input of other senior management within the organization. The Board and respective Committees receive management information from senior management on at least a quarterly basis covering updates and topics related to risks within the Group risk taxonomy.

Group employees are responsible for the effective implementation and operation of processes and controls.

The Company utilizes the Three Lines of Defense model:



Aspida Life Re Ltd. | Financial Condition Report 2023**The First Line of Defense:**

The first line of defense ("Line 1") encompasses the day-to-day operations of an organization. It represents front-line employees and management who are responsible for identifying, assessing, and managing risks within their respective areas of expertise. These individuals are closest to the processes, activities, and transactions that generate risk. They play a critical role in implementing risk controls by ensuring compliance with policies, procedures and controls, and promptly addressing risks as per the risk management strategy. By embedding risk management practices into their routine operations, Line 1 ensures that risks are proactively managed at their source, contributing to the organization's overall resilience and success.

Each risk within the Group risk taxonomy has an associated risk owner. Each owner is accountable for risk assessment, measurement, and mitigation efforts.

The Second Line of Defense:

The second line of defense ("Line 2") is an independent oversight function that supports and guides the operational areas.

It includes risk management, compliance, and control functions that provide expertise and guidance on risk identification, assessment, and mitigation. Line 2 professionals work collaboratively with Line 1 to establish risk frameworks, develop policies and controls, and monitor compliance with regulatory requirements and internal standards. The second-line function enables the monitoring of existing risks and the identification of emerging risks in the daily operations of the business. They provide valuable insights, assess the effectiveness of risk controls, and offer guidance on risk appetite and tolerance. By functioning independently from Line 1, Line 2 ensures a checks-and-balances system that enhances the organization's risk management capabilities and ongoing regulatory compliance.

Led by the Chief Risk Officer (or Deputy Chief Risk Officer), the focus is to facilitate an efficient, effective and consistent approach to risk management across the business.

The accountability for the implementation, monitoring and oversight of our risk appetite is aligned, monitored and maintained by our Chief Risk Officer (or Deputy Chief Risk Officer).

Risk tolerance/limits levels are monitored and any deviations from pre-established levels are reported to facilitate responsive action. The frequency of monitoring is dependent on the specific metric and is documented accordingly. This will be driven by factors such as the availability of data and the efficiency of the calculation.

The Third Line of Defense:

The third line of defense ("Line 3") comprises the internal audit function, which operates independently from both Line 1 and Line 2.

Its primary role is to provide objective and unbiased assurance to the organization's senior management and Board. It is charged with the duty of reporting to the Board and Audit and Compliance Committee and provides assurance to regulators and external auditors that the control culture across the organization is effective in its design and operation.

Line 3 assesses the effectiveness of risk management, control, and governance processes across the organization. They conduct audits, reviews, and evaluations to identify weaknesses, areas of improvement, and potential risks. Line 3 also plays a vital role in validating that both Line 1 and Line 2 are functioning effectively and in accordance with established policies and regulations. Through its independent assessments, Line 3 helps to enhance accountability and transparency in risk management practices and fosters continuous improvement within the organization.

2.3.2 Risk management and solvency self-assessment systems implementation

The Company's risk management framework is implemented and integrated into its operations through systems, processes and procedures, and controls developed by management. The Risk Function, Internal Audit and third-party consultants review the controls in place to ensure they are effective and provide recommendations to the Board on a quarterly basis.

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On a quarterly basis, the Chief Risk Officer (or Deputy Chief Risk Officer) reports to the Board on the key developments with respect to the Company's material risks. The basis of this is the Risk Dashboard which is formulated through collaboration with different functions within the business, e.g. investments, actuarial, legal and operations.

Information arising from the quarterly risk review in conjunction with stress testing is used to complete the quarterly solvency assessments of the quantity and quality of capital required to support the Company's business goals given the amount of risk the Company has taken (or plans to take) on and business and investment environmental factors.

The solvency assessment is reviewed on a quarterly basis to ensure that the Company's capital adequacy and liquidity resources are sufficient based on the perceived risks to the Company arising from its operations. The Company uses a combination of BSCR and internal capital models to determine the adequacy of capital.

2.3.3 Relationship between solvency self-assessment, solvency needs & capital, and risk management

The Company's solvency self-assessment process links the risk management framework, including risk appetite, risk limits and the risk assessment process, and the Company's capital management framework.

The Company's solvency self-assessment is a formal guide that outlines the Company's short- and longer-term business strategy, and the quality and quantity of capital to support these plans. The solvency self-assessment seeks to identify and measure all material risks, and aids decisions regarding which risks it can eliminate, remediate or retain within its agreed risk appetite and tolerance. The process, upon considering severe stress events, also facilitates the identification of contingent sources of liquidity and capital support to ensure that the Company continues to be able to achieve agreed strategic objectives.

2.3.4 Solvency self-assessment approval process

The Deputy Chief Risk Officer is responsible for preparing the Company's solvency self-assessment. After review, the assessment is provided to the Board for approval on an annual basis, with emphasis upon the Company's internal capital modelling, current and emerging risk exposures, and how the exposures are mitigated in the risk management framework.

2.4 Controls**2.4.1 Internal control system**

The Company has in place systems, processes, and policies & procedures to ensure that data and reporting is reliable, organizational policies are adhered to, and adequate security measures are implemented.

The Board and senior management are responsible for adopting an effective internal control framework. The Audit and Compliance Committee oversees the adequacy and effectiveness of the internal control framework and reviews with management the Company's internal control systems intended to ensure the reliability of financial reporting and compliance with applicable laws and regulations.

The Company continues to enhance its internal controls as the business grows to ensure that its framework is commensurate to the nature, size and complexities of the business.

2.4.2 Compliance function

The Company's Compliance function, which is managed with the support of other departments including Risk as well as engagement of external legal counsel, seeks to, among other things, ensure that laws and regulations are observed, to respond appropriately to all impending legislative changes or new court rulings, and to provide legally appropriate solutions for transactions and business processes.

The Company's Compliance function also has responsibility for monitoring regulatory change, compliance with organizational policies and procedures, and adherence to the Company's Code of Conduct.

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Policies and procedures include areas covering whistleblower, insider-trading, fraud, anti-money laundering and anti-terrorist, anti-bribery and corruption. Staff are also required to read and comply with the Employee Code of Conduct upon joining the Group and on an on-going basis.

The Audit and Compliance Committee has oversight of compliance activities and reviews the effectiveness of the Company's system for monitoring compliance and any instances of non-compliance. All material findings are reported to the Board and remediated accordingly.

2.5 Internal audit

The Head of Internal Audit has responsibility for oversight and direction of the Internal Audit function and utilizes internal resource and third-party consultants to fulfil functional goals. In carrying out its duties and responsibilities, Internal Audit is entitled to full and unrestricted access to all areas of the organization including personnel records, and records held by third-party service providers. To maintain independence and objectivity, the Head of Internal Audit reports directly to the Chair of the Audit and Compliance Committee for matters relating to Internal Audit and the Chief Financial Officer for other administrative matters. The Internal Audit function operates in accordance with the Internal Audit Charter as approved by the Audit and Compliance Committee, which outlines the missions, scope, responsibilities, and reporting structure of the function.

The Internal Audit function provides independent, objective assurance and advisory services designed to add value and improve the Company's operations. It assists the Company in accomplishing its objectives by bringing a systematic and disciplined approach to evaluate and improve the effectiveness of risk management, internal controls, and governance processes. All Internal Audit review findings are reported to the Audit and Compliance Committee.

The Internal Audit Plan is reviewed and approved on an annual basis by the Audit and Compliance Committee.

2.6 Actuarial function

The Actuarial Function is managed internally by the Chief Actuary.

The Actuarial team is responsible for the following:

- Computation of actuarial items (e.g reserves) under US GAAP and EBS
- Pricing and underwriting
- Stress & scenario testing
- Maintenance of actuarial data and controls
- Updating actuarial assumptions / experience studies and methodologies
- Management information reporting

Policyholder and reinsurance obligations are reviewed quarterly by the management team including the CEO, President and CFO, as well as the Audit and Compliance Committee and Board. On an annual basis the reserves and assumptions are also independently reviewed by auditors for both GAAP and Bermuda Statutory Financial Statements, while the Approved Actuary opines on the reasonableness of the EBS Technical Provisions ("TP").

2.7 Outsourcing**2.7.1 Outsourcing policy and key functions that have been outsourced**

As part of the regulatory updates within the Bermuda regime, the requirements for outsourcing have been strengthened to ensure that regulated companies implement sufficient oversight of material outsourced activities.

The Company has both an Outsourcing Policy and a Procurement and Vendor Management Policy in place to ensure:

- Adequate oversight and clear accountability for all material outsourced functions, including both intra-group and third party outsourced activities.
- Procurement of third-party products and services are in accordance with the Group's mission and ongoing business objectives.

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Before engaging in any outsourcing agreement, completion of both a materiality assessment and risk assessment is required, with approval provided by the management team with respect to the associated materiality rating. The materiality assessment evaluates the risks associated with the activity. If the activity is deemed material, the Company will include it in the outsourcing register for ongoing monitoring. The risk assessment includes considerations for business continuity and contingency planning, which must be documented.

All material outsourcing services will include written, legally binding Service Level Agreements ("SLA"). The SLA documents all components of the outsourcing arrangement between the parties, specifying the content, frequency and format of the service being provided.

Key requirements of the Outsourcing Policy include the following:

- Reviewing the performance of outsourced service providers against the agreed SLA and any identified Key Performance Indicators (KPI's), against which performance can be measured to ensure that the Company's requirements are met to an appropriate standard.
- All material outsourcing arrangements are organized such that appropriate reporting capabilities are in place including meetings / other forms of communication, to ensure effective management and oversight of outsourced arrangements and the ability to identify potential problems at an early stage.

- Quarterly updates are also provided to the Board to ensure that they have adequate oversight of each of the material outsourced services.

The Company utilizes several third-party outsourced service providers, including certain services pertaining to Internal Audit, investment accounting, corporate secretarial duties, and human resources.

2.7.2 Material intra-group outsourcing

The Company has an IMA with its affiliate, AIS, under which it outsources certain tasks related to investment management, capital management, Asset Liability Management ("ALM"), and corporate development services.

The Company also utilizes its affiliated service company, AFS, for administrative services, including financial reporting, treasury, financial planning & analysis, information technology, legal and actuarial activities.

These arrangements are subject to full oversight and approval by Aspida Re's management.

2.8 Other material information

No other material information to report.

3 Risk Profile

As a reinsurer based in Bermuda, the Company operates within an asset-intensive reinsurance landscape, aligning closely with the Company's strategic business objectives. As such, the most significant risks facing the Company predominantly stem from market risk, liquidity risk and credit risk. The Company maintains a moderate-to-minimal exposure to insurance risk.

3.1 Material risk exposure during the reporting period

Market risk exposures are largely driven by movements in interest rates and credit spreads, while credit risk is influenced by the inherent creditworthiness of counterparties, indicated by counterparty default and downgrade risks. Additionally, due to the nature of structured assets held by the Company, liquidity risks are also a significant consideration.

Insurance risk primarily arises from lapse risk and longevity risk in the context of policyholder utilization on Fixed Index Annuity ("FIA") Guaranteed Lifetime Withdrawal Benefit ("GLWB") riders. Mortality risk is not currently a significant risk given Aspida Re's product mix. Furthermore, morbidity risk is not a preferred risk within our established risk appetite.

Aspida Re's risk appetite considers material risks in the business under the following risk taxonomy:

Strategic Risk: The risk of losses or adverse consequences arising from plans designed to achieve the strategic objectives, failing to produce the desired results, or not being executed as intended. It also encompasses the risk of change in external forces such as changes in customer preference, competitive landscape, or business cycle that may affect the Group's ability to meet its growth and profit objectives.

Market Risk: The risk of loss due to fluctuations in the values of assets, liabilities, future earning streams and/or cash flows resulting from changes in market factors and the resulting change in asset and liability behavior relative to one another.

Credit Risk: The risk of a loss caused by a counterparty's failure to repay its debt or honour its contractual obligations. This includes the risk that amounts collected are less than those contractually due or are not remitted on a timely basis. Credit risk can arise in three main forms:

- Default risk – the risk of losses due to an issuer defaulting on their obligations or unable to make payment in a timely manner;
- Downgrade risk / credit migration risk – the risk of loss caused by a fall in credit ratings;
- Credit spread risk - the risk of adverse market movements due to movements in credit spread.

Liquidity Risk: The risk of loss arising due to the inability to meet obligations as they arise due to a mismatch between asset and liability cashflows. It may also arise due to not having sufficient liquid, marketable assets to cover immediate or unexpected financial needs, leading to realized losses due to a need to sell assets at an inopportune time.

Insurance Risk: The potential loss resulting from insurance events, in respect of risks inherent within our business. These risks include mortality risk (primarily on life insurance products), longevity risk (primarily on annuity and payout coverages), morbidity risk (on disability or critical illness coverages), claims risk (on medical or other coverages), lapse risk, expense risk, policyholder behavior (on most coverages), and other associated risks inherent to the life, health and annuity market in which we operate.

Legal, Regulatory and Compliance Risk:

- Legal risk is the risk of financial or reputational loss that can result from lack of awareness or misunderstanding of the way laws and regulations apply to our business, including its relationships, processes, products and services. Regulatory risk and compliance may become legal risks;

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- Regulatory risk is the risk of loss from a change in laws and regulations that could potentially cause losses to the business;
- Compliance risk is the threat posed to a company's financial, organizational or reputational standing resulting from violations of laws, regulations, codes of conduct or corporate standards of practice.

Operational Risk: The risk of loss or other adverse consequences on business outcomes resulting from inadequate or failed internal processes, people and systems, or from external events.

Model Risk: The risk of loss from the weakness in models used to make decisions, measure financial exposures, and quantify risk initially and ongoing. These weaknesses include misestimate risk, miscalculation risk, variance risk, trend risk, non- accurate results, lack of models, mistakes in execution, frequency of review of experience, errors and misapplication, which may impact statutory or economic results. In large part, model risk is a part of the other risk categories.

Environmental, Social & Governance Risk ("ESG"): The risk of loss or other adverse consequences stemming from an environmental, social, or governance event. ESG factors are environmental, social and corporate governance conditions that are subject to uncertainty, through a variety of risk drivers, which may have either positive or negative impacts on the financial performance or solvency of an entity.

3.2 Risk mitigation

The following risk mitigation tools and techniques are used across the various risks faced by the business:

Strategic Risk

- Executive group discussions – this brings together a range of stakeholders and perspectives to create a holistic view of the risk factors affecting the business's key strategic objectives;

- Underwriting Committee and monthly pipeline review meetings – ensuring that the business's key strategic objectives are well understood by being selective towards the opportunities we allocate time and resources towards;
- Staying abreast of industry trends – includes being an active participant within the life and annuity space staying attuned to developments that would impact the products we sell and the organization overall as well as potentially helping shape regulation;
- Capital planning – in addition to the annual planning process, capital is consistently monitored on a quarterly basis, to both estimate any additional capital needs due to sales and market movements during the current quarter, as well as upcoming potential capital needs based on expectations for subsequent periods. Capital is sourced in a timely manner to ensure the Company continues to maintain a BSCR ratio within the target range;
- Mergers and acquisitions – ensure we have appropriate resources and expertise involved in all aspects of the due diligence and transition processes.

Market Risk

Interest rate risk

The ALM program utilizes AIS portfolio optimization and asset cash flow projections along with Aspida Re's actuarial models and capital tools to analyse the business under various accounting regimes and scenarios. The process and tools are subject to continuous enhancements and refinements.

The ALM program considers duration matching and cashflow matching, projecting asset and liability cash flows at both the treaty level and the legal entity level. Each reinsurance agreement has investment guidelines and, where applicable, duration mismatch limits and hedging strategies. Aspida Re manages both its investment allocation and its duration matching within treaty specific requirements and the Company's guidelines / limits.

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Additionally, stress and scenario testing encompassing both BMA prescribed and AIS / Aspida Re inhouse scenarios, is performed on our investment portfolios to help ensure asset adequacy with respect to our liability obligations, capital stability, and solvency.

Equity and alternatives risk

Equity markets impact Aspida Re's performance in two ways:

1. The first is the payoff of the index credits and corresponding hedges;
2. The second is the performance of Aspida Re's equity or other alternative asset investments.

Aspida Re's hedging program is designed to limit the P&L impact of equity return volatility on Aspida Re's FIA business. Hedging must be performed in accordance with the Company's hedging strategy.

Aspida Re selects high quality equity and alternative asset investments which are under a buy and hold strategy and therefore the company is not considered a forced seller of alternative assets. Additionally, any investments into these asset classes align to investment guidelines.

Credit Risk

Putting aside credit spread risk, this risk primarily encompasses our counterparty risk with respect to investments and our exposure to a party unable to fulfil their obligations. Aspida Re also has counterparty credit exposures to derivative counterparties on the FIA hedges.

- Diversification – selecting assets across different issuers, asset classes, industry sectors and geographies; concentration limits are in place as part of Aspida Re's investment guidelines;
- Investment guideline limits – the Company has various internal and treaty-based limits on credit risk;
- Counterparty Selection – partnering and transacting with counterparties who have a high credit quality in conjunction with a robust monitoring program.

Liquidity Risk

Understanding and quantifying how different extreme capital market conditions impact policyholder behaviors is critical in helping the Company calibrate the appropriate allocation to less liquid assets. Thus asset-liability duration and cashflow matching projections and stress testing are pivotal in managing this risk.

In addition to adhering to our existing investment guidelines and limits relating to less liquid asset classes, other mitigation options include stress testing and ensuring the availability of alternate sources of liquidity.

Insurance Risk

- Comprehensive consideration of product selection during the treaty underwriting process, coupled with thorough analysis of the inherent product features within the assumed business;
- Performance of stress and scenario testing to assess and understand the factors influencing our business, including available management actions;
- Management of insurance risk and volumes by monitoring the competitive environment and setting crediting rates appropriately with cedents;
- Establishment of robust processes for monitoring experience and analyzing emerging trends, enabling early insights into evolving insurance trends.

Legal, Regulatory and Compliance Risk

- Staying abreast of regulatory changes within the industry and industry trends;
- Maintaining an open dialogue with our regulators on emerging items, including proactively scheduling periodic meetings to update regulators on the Group;
- Ensuring that reinsurance treaty terms are clearly defined;
- Performing post-implementation internal and external audits and assessments to verify compliance with legal and regulatory requirements.

Aspida Life Re Ltd. | Financial Condition Report 2023**Operational Risk**

Operational risk is managed as part of the day-to-day business operations. The Company strives to continuously improve and embed its policies, procedures, and controls across the business. The success of our operational control processes is further dependent on the implementation of an effective ERM program.

Some examples of Operational Risk mitigation include:

- Embedding and fostering a strong risk culture across the Group toward identifying and managing risk in addition to developing a strong control environment;
- Focusing on employee retention and ensuring that employees are engaged and aligned with business priorities, which is implemented via appropriate remuneration, incentives, performance reviews and succession planning;
- A Cybersecurity Policy & Program establishing the expectations regarding people, processes and technologies that maintain the confidentiality, integrity, and availability of the Group's data and information systems as it undertakes to protect the Company and stakeholders (including policyholders, partners, etc.);
- Business continuity and disaster recovery exercises are undertaken at least annually;
- Ongoing employee security awareness and compliance training and testing;
- Our policies and procedures are subject to continuous enhancements and periodic updates to ensure that they are proportional to the nature, size, and complexities of our business.

Model Risk

- Peer review and segregation of duties ensuring that there is a 'doer, reviewer, and checker' across all elements of the model from inputs to outputs as well as process;
- Data infrastructure development including a robust data warehouse with embedded validations and controls;
- Ongoing validation and testing of models and assumptions through use of

independent validation tools and continuing experience reviews;

- Performing internal audits and assessments on data, assumptions and model controls and processes.

ESG Risk

The Company's financial profile is not directly exposed to risks of climate change arising from physical risks due to the nature of the risks it reinsures. However, given the asset-intensive nature of the business strategy, there may be impacts arising from transition risks on the asset portfolio.

With Ares being the ultimate owner, and asset management and asset sourcing being outsourced primarily to Ares, the Group leverages Ares' differentiated approach to ESG.

Ares has committed to integrating ESG considerations into its investment decision-making processes and has established a dedicated ESG team that works closely with investment teams to identify and manage ESG risks and opportunities. Ares has demonstrated a commitment to ESG considerations and has implemented policies and practices to ensure that these considerations are integrated into its investment decision-making processes.

Aspida Re recognizes that the landscape of ESG risks is evolving, and our flexible approach allows us to adapt to changing circumstances and prioritize actions that align with our long-term sustainability goals. Given the Board's composition and experience, Aspida Re is also comfortable that the Board has oversight over climate risk and impacts to primary activities, namely underwriting, investment management and operations. Additionally, the Company has a robust Business Continuity Plan ("BCP") in place in the event climate change impacts its ability to operate in a traditional office environment.

3.3 Material risk concentrations

The Company has in place various risk concentration tolerances for Market and Credit Risks to monitor and manage the concentration of any single risk type. On a regular basis, the Company reviews its asset concentration with respect to asset class, counterparties, and credit quality, ensuring adherence to its investment guidelines.

3.4 Investment in assets and the prudent person principles

As per the BMA's Insurance Code of Conduct, the "prudent person" principle requires that an individual entrusted with the management of a client's funds may only invest in instruments that any reasonable individual with objectives of capital preservation and return on investment would own. This principle requires that the insurer, in determining the appropriate investment strategy and policy, may only assume investment risks that it can properly identify, measure, respond to, monitor, control, and report while taking into consideration its capital requirements and adequacy, short-term and long-term liquidity requirements, and policyholder obligations. Further, the insurer must ensure that investment decisions have been executed in the best interests of its policyholders.

Aspida Re adheres to the prudent person principle in relation to the investment of its assets. Its investment strategy is to optimize its investments whilst meeting its contractual obligations with cash flow profiles tailored to meet Aspida Re's ALM and risk objectives. Under the IMA with AIS, AIS has discretionary authority to manage the investment and reinvestment of the Company's investible assets in accordance with the investment guidelines specified in each reinsurance treaty and the Company's investment guidelines. Aspida Re's investment thesis is to preserve flexibility around our credit, asset liability management, and liquidity profile as liabilities are sourced.

AIS oversees and manages Aspida Re's investments, with appropriate reporting to Aspida Re management, Investment and Risk Committees of the Board, and the Board itself. Aspida Re's investment policy has been approved by the Board's Investment Committee and is subject to Investment Committee and ultimately Board monitoring, overview, and approval.

Investment guidelines require that portfolios are well diversified whilst ensuring securities are high-quality, liquid and stable to support the Company's obligations as they become due. The Company has specific exposure limits established by issuers, asset classes, industry sectors and geographies. The Company oversees compliance against the limits through a regular review of each portfolio.

These guidelines are reviewed at least annually or more frequently if any significant deviations have occurred.

3.5 Stress testing and sensitivity analysis to assess material risks

The Company performs various stress tests to evaluate the adequacy of its capital and liquidity whilst ensuring that regulatory requirements are met. Stress and scenario testing is also utilized to assess and understand the factors influencing our business, including available management actions to manage risks.

Stress and scenario testing forms part of the Company's solvency self-assessment process in assessing the Company's ability to meet solvency and liquidity requirements under stressed conditions.

A stress test aims to not only assess the impact of single events by evaluating several statistically defined possibilities, but also highlights the materiality of the risk for the Company given the size of the impact relative to its surplus. Scenario testing focuses on assessing the impact on the business of a wide scale event or a series of events.

Key focus areas of our stress testing are market, credit and insurance risk. The selection of the stress and scenario tests ensures coverage of all material risks, including emerging risks and topical areas of Board and / or regulatory focus. The selected tests are reviewed and approved annually by management.

In particular, the Company performs periodic stress tests on the following key assumptions:

- Investment risk including:
 - Interest rate sensitivity;
 - Credit spreads and reinvestment risk;
 - Equity market performance.
- Insurance risk including:
 - Lapses (Base levels, shock levels & dynamic);
 - GLWB rider utilization;
 - Longevity / mortality.

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- Expense risk;
- Other (reverse stress testing, extreme stresses and other qualitative what-if events as necessary).

3.6 Other material information

No other material information to report.

4 Solvency Valuation

4.1 Derive the value of each asset class

The Company has considered the valuation principles outlined by the BMA's "Guidance Note for Commercial Insurers and Insurance Groups Statutory Reporting Regime" for the reporting period.

For EBS purposes investments are recorded, at fair value, consistent with the US GAAP approach.

The Company measures the fair value of its securities based on assumptions used by market participants in pricing the security. The most appropriate valuation methodology is selected based on the specific characteristics of the fixed maturity security and the Company will then consistently apply the valuation methodology to measure the security's fair value. The Company's fair value measurement is based on a market approach, which utilizes prices and other relevant information generated by market transactions involving identical or comparable securities.

The table below illustrates the EBS value of each material class of asset for the Company at December 31, 2023. In the sections following the table, further details are provided regarding the valuation approach for each material asset class.

(in \$'000s)	2023	2022
Investments		
Available-for-sale securities	944,003	195,102
Equities	2,903	-
Funds withheld at interest	8,329,558	4,888,510
Derivative assets	61,907	34,348
Total Investments	9,338,371	5,117,960
(in \$'000s)	2023	2022
Cash and cash equivalents	146,163	91,027
Restricted cash	5,535	49,425
Reinsurance recoverable	222,512	296,376
Other	13,784	3,674
Total Other Assets	387,994	440,502
Total Assets	9,726,365	5,558,462

Available-for-sale ("AFS") securities

The Company's fixed-maturity securities are classified as AFS and reported at fair value on the Balance Sheets with unrealized gains and losses, net of allowances for expected credit losses, tax and adjustments to deferred acquisition costs, deferred sales inducements, value of business acquired ("DAC, DSI, VOBA respectively") and future policy benefits, if applicable, in accumulated other comprehensive income (loss) ("AOCI").

Sales of securities are determined on a specific identification basis. Interest income is recognized when earned using an effective yield method based on the economic life of the securities, giving effect to amortization of premium and accretion of discount. The amortization of premium and accretion of discount also takes into consideration call and maturity dates.

Funds withheld at interest

Funds withheld at interest represent a receivable for amounts contractually withheld by ceding companies in accordance with FWH and modified co-reinsurance ("MODCO") reinsurance agreements in which the Company acts as reinsurer.

Generally, assets equal to statutory reserves are withheld and legally owned by the ceding company. Any excess or shortfall is settled periodically as detailed within each reinsurance agreement. Although the assets in FWH transactions are legally owned by the ceding company, the assets are held separately from the general account of the cedants and all economic rights and obligations on the assets accrue to the Company. The underlying agreements typically contain an embedded derivative, as discussed below.

Derivative assets

We invest in equity options to hedge the risks associated with our index annuity products and reinsurance agreements. Equity options are financial instruments with values that are derived from financial indices. Derivative contracts can be exchange traded or over-the-counter.

Aspida Life Re Ltd. | Financial Condition Report 2023

Over-the-counter derivatives are valued using valuation models or an income approach using third-party broker valuations. Valuation models require a variety of inputs, including contractual terms, market prices, yield curves, credit curves, measures of volatility, prepayment rates and correlation of the inputs.

We consider and incorporate counterparty credit risk into the valuation process through counterparty credit rating requirements and monitoring of overall exposure. We also evaluate and include our own nonperformance risk in valuing derivatives. The majority of our derivatives trade in liquid markets; therefore, we can verify model inputs and model selection does not involve significant management judgment. We record these transactions on a trade date basis.

Cash and cash equivalents

Cash and cash equivalents consist of cash at banks, highly liquid securities, and other investments with an original or remaining maturity of three months or less at the date of purchase. We estimate the fair value for cash equivalents based on quoted market prices.

Restricted cash

Restricted cash primarily consists of cash and cash equivalents held in trusts as part of certain reinsurance agreements to secure statutory reserves and liabilities of the insured parties.

Reinsurance recoverable

Reinsurance amounts receivable represent amounts due from cedants on a net settlement basis. Such amounts are recorded at fair value in accordance with US GAAP.

4.2 Derive the value of technical provisions

The Company follows valuation principles outlined in the BMA's "Guidance Notes for Commercial Insurers and Insurance Groups' Statutory Reporting Regime" when calculating insurance technical provisions included on its EBS. Technical provisions are valued on a fair value basis and comprise the sum of the:

- Best Estimate Liabilities ("BEL") – liability set aside to cover best estimate future liability cash flows, and

- Risk margin – to reflect the uncertainty associated with the probability-weighted cash flows.

The BEL component is set primarily using the Scenario Based Approach ("SBA"). Under this method, the Company projects both asset and liability cash flows using best estimate assumptions under each of the 8 BMA prescribed interest rate scenarios. For each scenario, the amount of assets required at outset to exhaust the liabilities is determined; the BEL is set equal to the scenario resulting in the highest asset requirement in aggregate across all treaties.

The BEL includes provisions for a small block of pension risk transfer business calculated using the BMA's Standard Approach and deposit liabilities held at account value.

The BEL also reflects a provision for the proportion of derivatives that Aspida Re holds to hedge its cedent's retained liabilities on two of its fixed index annuity treaties where Aspida Re performs hedging for both itself and the cedent. The liability is set equal to the market value of the derivative assets held by Aspida Re on behalf the cedents and is consistent with the valuation methodology outlined for derivative instruments in section 4.1.

The Company holds a risk margin to reflect the uncertainty inherent in the underlying cash flows which is calculated using the cost of capital approach. Under this approach, non-hedgeable risk capital requirements under BSCR are forecasted for each projection period, multiplied by a cost of capital rate, and discounted back to the valuation date using a risk-free discount rate term structure. The cost of capital rate is assumed to be 6% and discounting is performed using BMA prescribed risk-free rate term structures.

As of December 31, 2023, the total EBS technical provisions were \$8.8bn composed of the following:

Year End 2023 EBS Technical Provisions	
(in \$'000s)	2023
Best Estimate Liability	8,814,946
Risk Margin	15,546
Total Long Term Business Technical Provisions	8,830,492

Aspida Life Re Ltd. | Financial Condition Report 2023**Assumptions**

Cash flow projections used to derive the BEL are determined using best estimate assumptions that are periodically reviewed by the Company and updated as emerging experience warrants.

Key liability assumptions include those for lapses, partial withdrawals, mortality/longevity, GLWB utilization, and expenses. Best estimate assumptions typically start with original pricing assumptions and reflect adjustments for emerging experience over time. Assumptions are set with consideration to company experience and relevant industry experience, incorporating actuarial and management judgment where appropriate.

Economic assumptions are set to reflect economic conditions and other capital markets assumptions including equity price and equity volatility associated with hedging as of the valuation date. Key assumptions include those related to asset default rates, investment expenses, reinvestment credit spreads, reinvestment strategies and interest rate scenarios. The Company works closely with its asset manager, AIS, to set asset assumptions. Risk free yield curve and interest rate scenarios used in the SBA are consistent with those prescribed by the BMA.

Given the inherent uncertainty in setting assumptions, the Company also performs sensitivity testing on key best estimate assumptions to assess the impact to technical provisions should actual experience emerge adversely to best estimate assumptions.

4.3 Description of recoverable from reinsurance contracts

The Company does not have any ceded reinsurance.

4.4 Derive the value of other liabilities

The Company follows valuation principles outlined by the BMA's "Guidance Notes for Commercial Insurers and Insurance Groups' Statutory Reporting Regime" when calculating the value of other liabilities included under EBS.

The Company's other liabilities are primarily composed of related party payables, payables to brokers for security purchases, accrued expenses, and other liabilities. The valuation methodology for these liabilities is consistent with US GAAP. The liabilities are all short-term in nature and represent a reasonable approximation of fair value.

4.5 Any other material information

No additional material information to report.

5 Capital Management

5.1 Eligible capital

5.1.1 Capital management policy and process for capital needs, how capital is managed and material changes during the reporting period

The primary capital management objectives of the Company are to maintain a strong capital base to support policyholder obligations, the development of its business, and to meet or exceed the requirements of various stakeholders. Target capital levels are primarily based on regulatory and rating agency capital models, as well as collateral requirements included in reinsurance agreements with counterparties.

To maintain financial strength, the Company identifies, assesses, manages, and monitors the various risk sources it faces during the course of business, both currently and as anticipated over a multi-year planning horizon. Effective capital management is an organization-wide priority that follows a routine process involving senior management, finance teams, actuarial teams, asset managers and the parent company. This process culminates in an assessment of the capital necessary to maintain solvency at the thresholds targeted by senior management and the Board given the firm's risk profile. The Company's risk profile includes an assessment of the current and anticipated future material risks faced by the Company, the strength of the organization's ERM, capital measures derived from proprietary and vendor models, qualitative risks, stress testing, liquidity, and contingent financing mechanisms.

The Company received \$313.7mm in capital infusions during the reporting period to support new business and to meet regulatory, rating agency, and reinsurance treaty requirements. The Company ended 2023 with a BSCR ratio of 214%.

Aspida Re and its affiliate companies are expected to experience significant growth in the coming years, generating capital needs across the Aspida group. When considering allocation of capital, various opportunities across jurisdictions, products, and channels are factored in.

Growth is managed based on the availability of capital from the parent company of Aspida Holdings Ltd.

5.1.2 Description of the eligible capital categorized by tiers in accordance with the eligible capital rules

To enable the BMA to better assess the quality of the insurer's capital resources, a Class E insurer is required to disclose the makeup of its capital in accordance with a "3-tiered capital system". Highest quality capital is classified as Tier 1 Capital, lesser quality capital is classified as either Tier 2 or Tier 3 Capital.

As of December 31, 2023, all eligible capital of \$778mm is Tier 1 Capital.

5.1.3 Eligible capital categorized by tiers in accordance with the eligible capital rules used to meet ECR and MSM requirements of the insurance act

The Company has met its eligible capital requirements for both ECR and MSM.

5.1.4 Confirmation of eligible capital that is subject to transitional arrangements

Not applicable.

5.1.5 Identification of any factors affecting encumbrances on the availability and transferability of capital to meet the ECR

The Company has treaties with cedants that have certain collateralization requirements. Assets are held in trust or custody accounts and are released to the Company upon meeting funding obligations.

5.1.6 Identification of ancillary capital instruments approved by the authority

Not applicable.

Aspida Life Re Ltd. | Financial Condition Report 2023**5.1.7 Identification of differences in shareholder's equity as stated in the financial statements versus the available capital and surplus**

Under US GAAP accounting, specifically 'Statement of Financial Accounting Standard No 133, Accounting for Derivative Instruments and Hedging Activities, Derivatives Implementation Group Issue No. B36 Embedded Derivatives: Modified Coinsurance Arrangements and Debt Instruments That Incorporate Credit Risk Exposures That Are Unrelated or Only Partially Related to the Creditworthiness of the Obligor under Those Instruments' (generally referred to as "DIG B36"), funds withheld structures are deemed to include an embedded derivative between the ceding company and the reinsurer.

The difference between the shareholder's equity per the US GAAP financial statements versus the available capital and surplus per the Statutory Financial Statements is due to DIG B36. The Company has obtained a permitted practice under Section 6C of the Insurance Act of 1978 ("the Act") from the BMA to exclude the fair value impact of DIG B36 under its Statutory Financial Statements, making allowance for assets that are to be recorded on an amortized cost basis.

5.2 Regulatory capital requirements**5.2.1 ECR and MSM requirements at the end of the reporting period**

Class E insurers are required to maintain minimum capital and surplus that is equal to, or in excess of, an amount derived from the greater of 1) a risk-based capital model reflective of tail risks, 2) an asset-based formula, and 3) an \$8.0mm floor.

The Company met the minimum requirements.

As of December 31, 2023, the Company's ECR and MSM regulatory capital requirements were as follows:

ECR Requirement (in \$millions)		2023
Enhanced Capital Requirement		363
Economic Capital and Surplus		778

MSM Requirement**(in \$millions)****2023**

Minimum Margin of Solvency	157
Economic Capital and Surplus	778

This ECR represents the Transitional BSCR requirement, which reflects the 10-year linear grade-in period to fully transition from the 'old' 2018 BSCR methodology to the 'new' 2019 revised methodology, which came into effect on 1st January 2019. As of December 31, 2023, the transitional ECR was set to 50% of the 'new' basis and 50% of the 'old' basis.

5.2.2 Identification of any non-compliance with the MSM and the ECR

Not applicable.

5.2.3 Description of the amount and circumstances surrounding the non-compliance, the remedial measures and their effectiveness

Not applicable.

5.2.4 Where the non-compliance is not resolved, a description of the amount of the non-compliance

Not applicable.

5.3 Approved internal capital model**5.3.1 Description of the purpose and scope of the business and risk areas where the internal model is used**

Not applicable - the Company does not use an approved internal model to derive its ECR.

5.3.2 Where a partial internal model is used, description of the integration with the BSCR model

Not applicable.

5.3.3 Description of methods used in the internal model to calculate the ECR

Not applicable.

5.3.4 Description of aggregation methodologies and diversification effects

Not applicable.

5.3.5 Description of the main differences in the methods and assumptions used for the risk areas in the internal model versus the BSCR model

Not applicable.

5.3.6 Description of the nature & suitability of the data used in the internal model

Not applicable.

5.3.7 Any other material information

Not applicable.

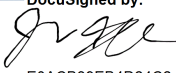
6 Subsequent Events

Through March 31, 2024 the Company received capital contributions of \$40.0 million from its parent Company Aspida Holdings Ltd. to support ongoing growth initiatives.

Management has evaluated events occurring after December 31, 2023, through April 24, 2024, the date the financial statements and this report were available to be issued, and identified no further subsequent events for disclosure.

7 Declaration

We, the undersigned of Aspida Life Re Ltd., declare that to the best of our knowledge and belief, the Financial Condition Report or the report on a significant event fairly represents the financial condition of the insurer in all material aspects.

DocuSigned by:

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Signed by:
Jon Steffen, President and Principal
Representative
April 24, 2024

DocuSigned by:

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Signed by:
David Florian, Chief Executive Officer
April 24, 2024

8 Glossary

A

AIS

Ares Insurance Solutions is Ares Management's dedicated, in-house team that seeks to provide solutions to Aspida Re, including: Asset Management, Capital Solutions and Corporate Development.

ALM

Asset Liability Management.

Ares

Ares Management Corporation is a leading global alternative investment manager offering clients complementary primary and secondary investment solutions across the credit, private equity, real estate and infrastructure asset classes.

B

Bermuda Monetary Authority (the "Authority")

The Bermuda Monetary Authority was established by statute in 1969. It supervises, regulates and inspects financial institutions operating in the jurisdiction. It also issues Bermuda's national currency, manages exchange control transactions, assist other authorities with the detection and prevention of financial crime, and advises Government on banking and other financial and monetary matters.

Best Estimate Liability ("BEL")

The BEL component is set primarily using the SBA. Under this method, the Company projects both asset and liability cash flows using best estimate assumptions for each of the interest rate scenarios prescribed by the BMA.

Bermuda Solvency Capital Requirement. ("BSCR")

The BSCR is the Authority's risk-based capital model, developed specifically to enhance its capital adequacy framework for the insurance sector. The model takes into account an insurer's risk profile, reflective of the inherent risk and complexity of the different lines of business it writes. The capital requirements subsequently placed on a firm will be based on the analysis resulting from application of the model, assisting the Authority in both measuring risk and determining appropriate capitalization for firms.

BILTIR

Bermuda International Long-Term Insurers and Reinsurers (BILTIR) was created to serve as a formal association representing the long-term insurers and reinsurers in Bermuda.

Board

Aspida Life Re's Board of Directors

C

CISSA

Commercial Insurer's Solvency Self-Assessment, a forward-looking assessment of own risks.

Company

Aspida Life Re Ltd.

E

Enhanced Capital Requirement ("ECR")

The ECR is the maximum of the MSM and BSCR requirements. The BMA imposes a target ECR coverage ratio of 120%.

Economic Balance Sheet ("EBS")

The EBS represents the regulatory capital balance sheet, comprising Technical Provisions, Assets and Capital Requirements as set out by the BMA regulations.

ERM

Enterprise Risk Management

ESG

Environmental, Social and Governance represent an organization's corporate financial interests that focus mainly on sustainable and ethical impacts.

F

FIA
Fixed Index Annuity

G

GLWB
Guaranteed Lifetime Withdrawal Benefit

I

IMA
Investment Management Agreement

M

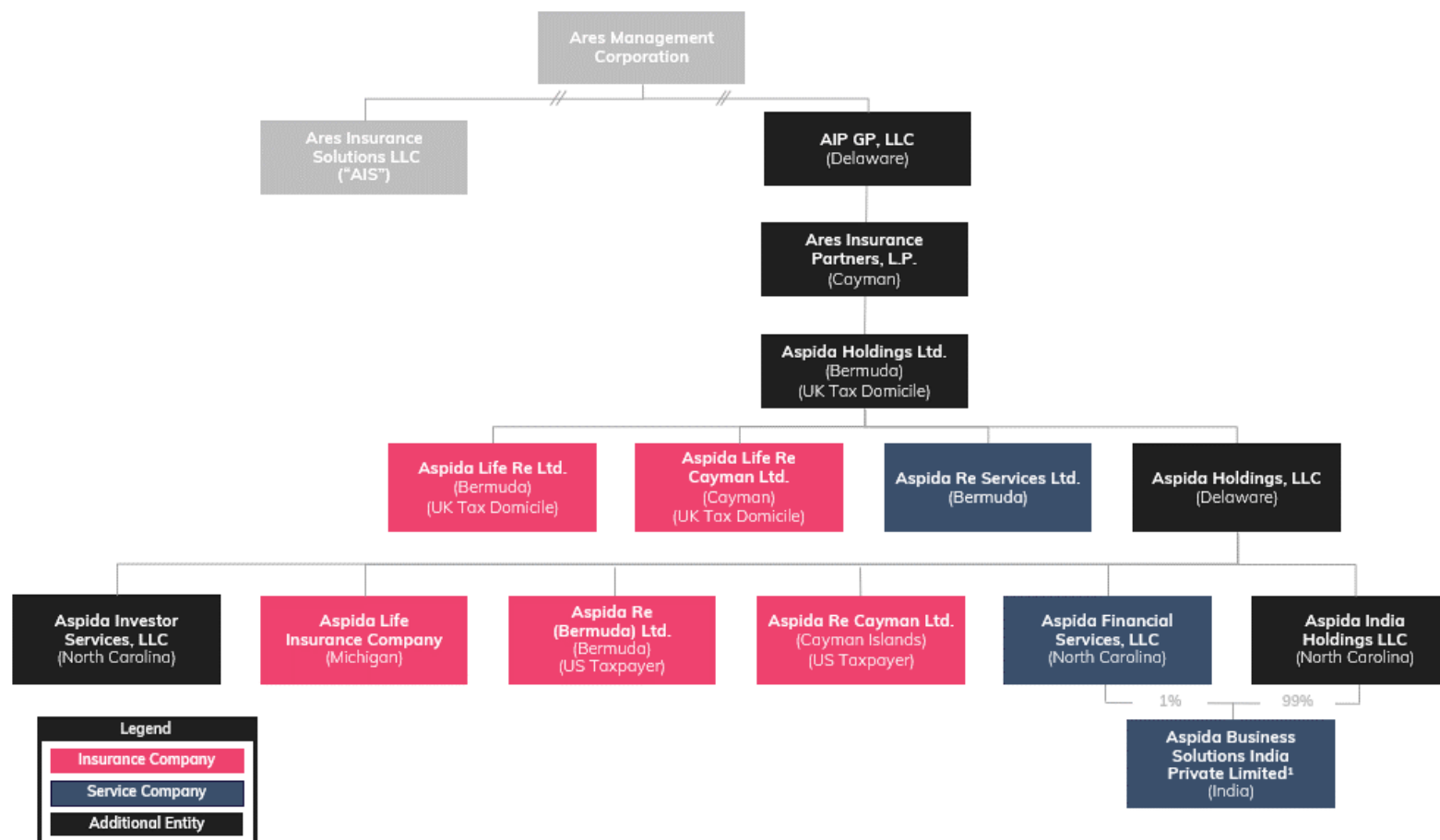
MSM
Minimum Solvency Margin. The Minimum Solvency Margin (MSM) is a prescribed regulatory capital floor as a function of business volume.

R

Risk Margin
The cost of providing funds to cover the Bermuda Solvency Capital Requirements over the lifetime of the associated insurance policies. The approach for calculating the risk margin is prescribed in the BMA regulations.

Appendix Group Structure

Aspida Group Legal Entity Organizational Structure



1. Aspida Financial Services, LLC is the Managing Partner with 1% interest and Aspida India Holdings LLC owns the remaining 99%.